

Regional Policy Making and Analysis

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Activity 2 : Systemic Relevance of Casablanca: Extraction Method Analysis

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Introduction

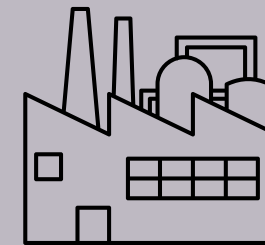
- Casablanca-Settat is Morocco's economic powerhouse.



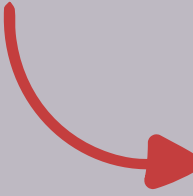
- Contributes 32% to national GDP.



- Accounts for 39.6% of national exports.



- Represents 38.9% of national industrial establishments.

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- The potential isolation of Casablanca-Settat highlights the need for detailed Regional Extraction Analysis.

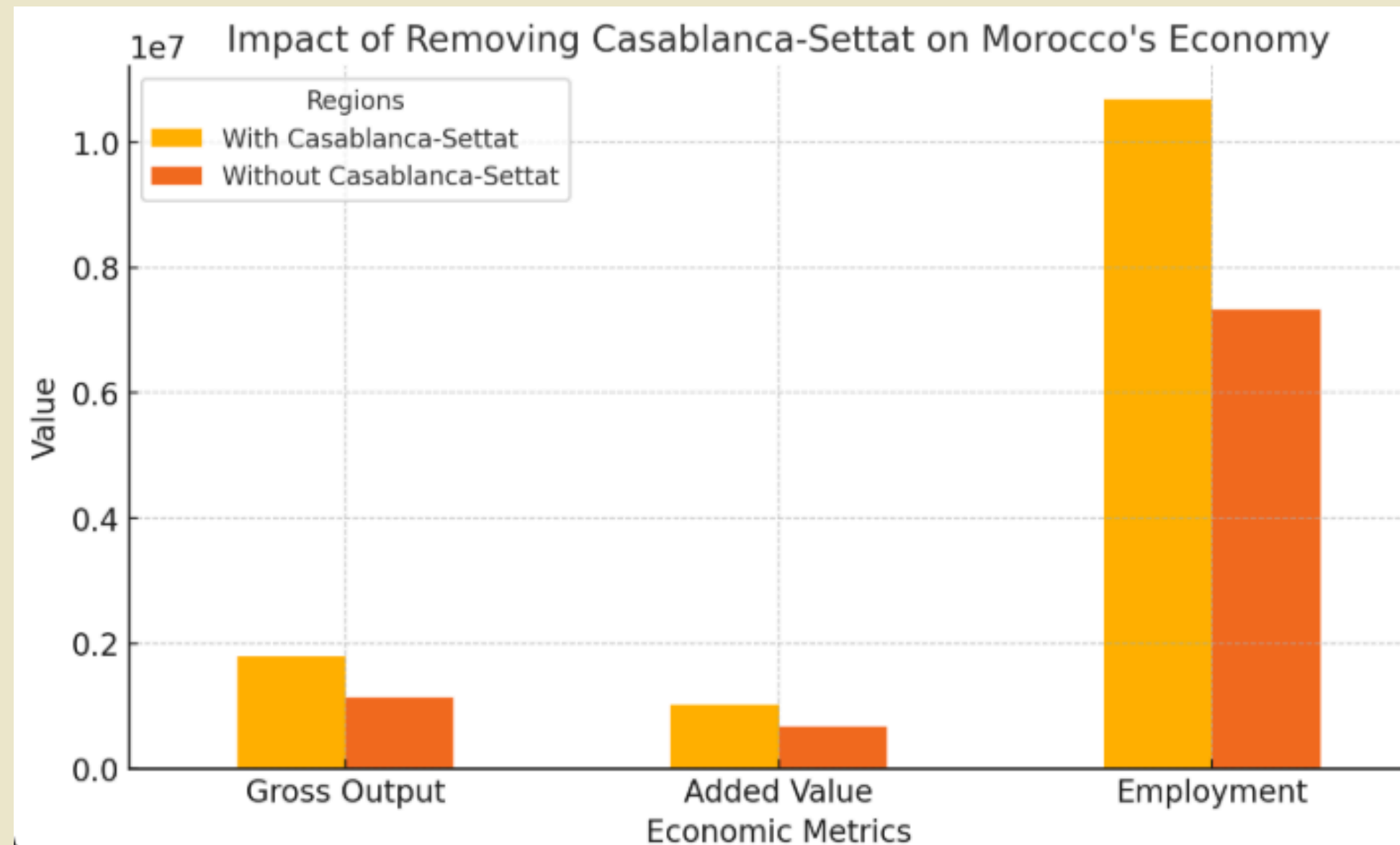
Source: HCP, Monographie de la region de casablanca 2020



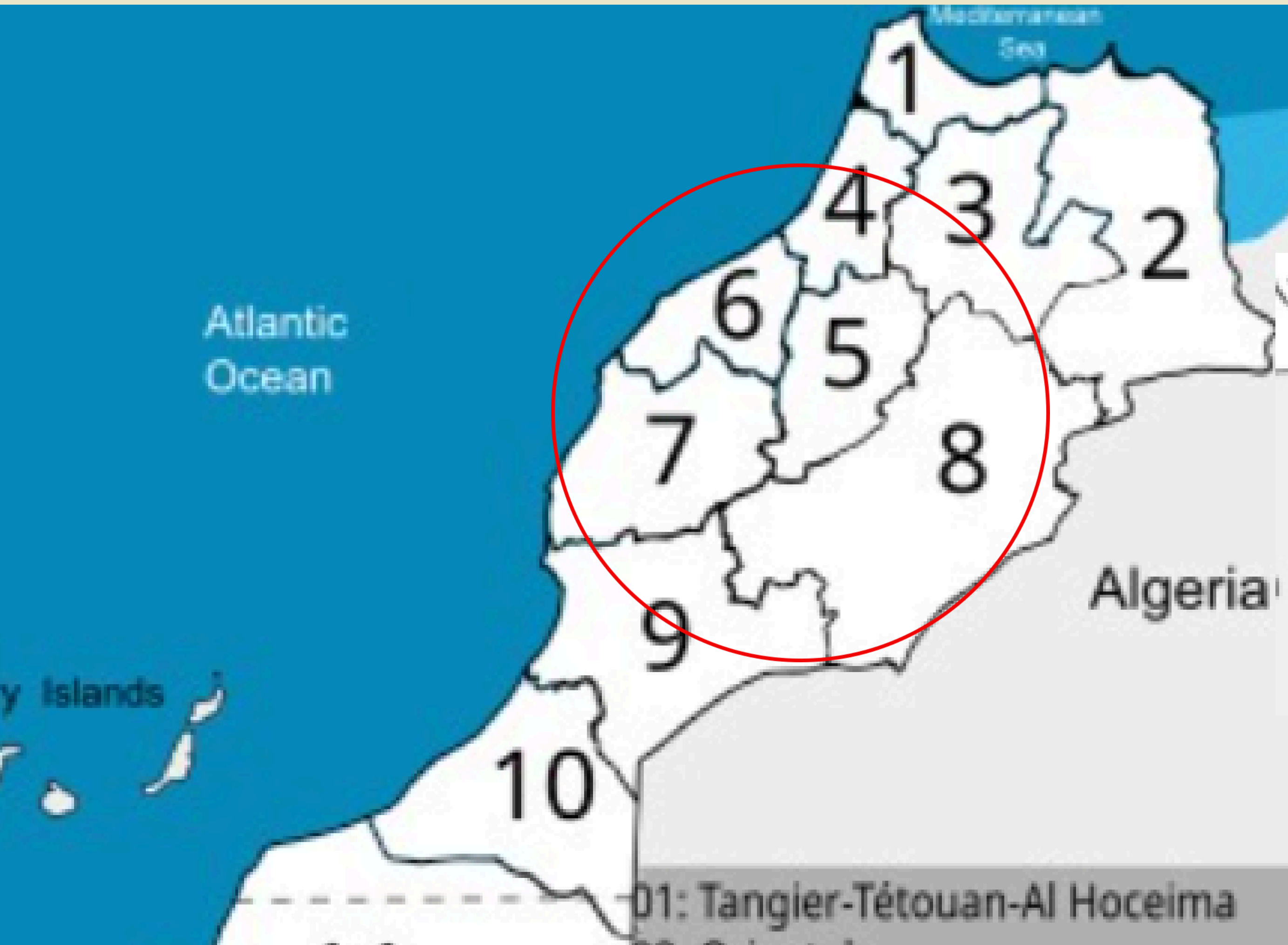
- **What would happen to Morocco if Casablanca-Settat disappeared?**
- **Which regions in Morocco would suffer the most if this happened?**
- **What industries or businesses would get hurt the most?**

We looked at data from 2019



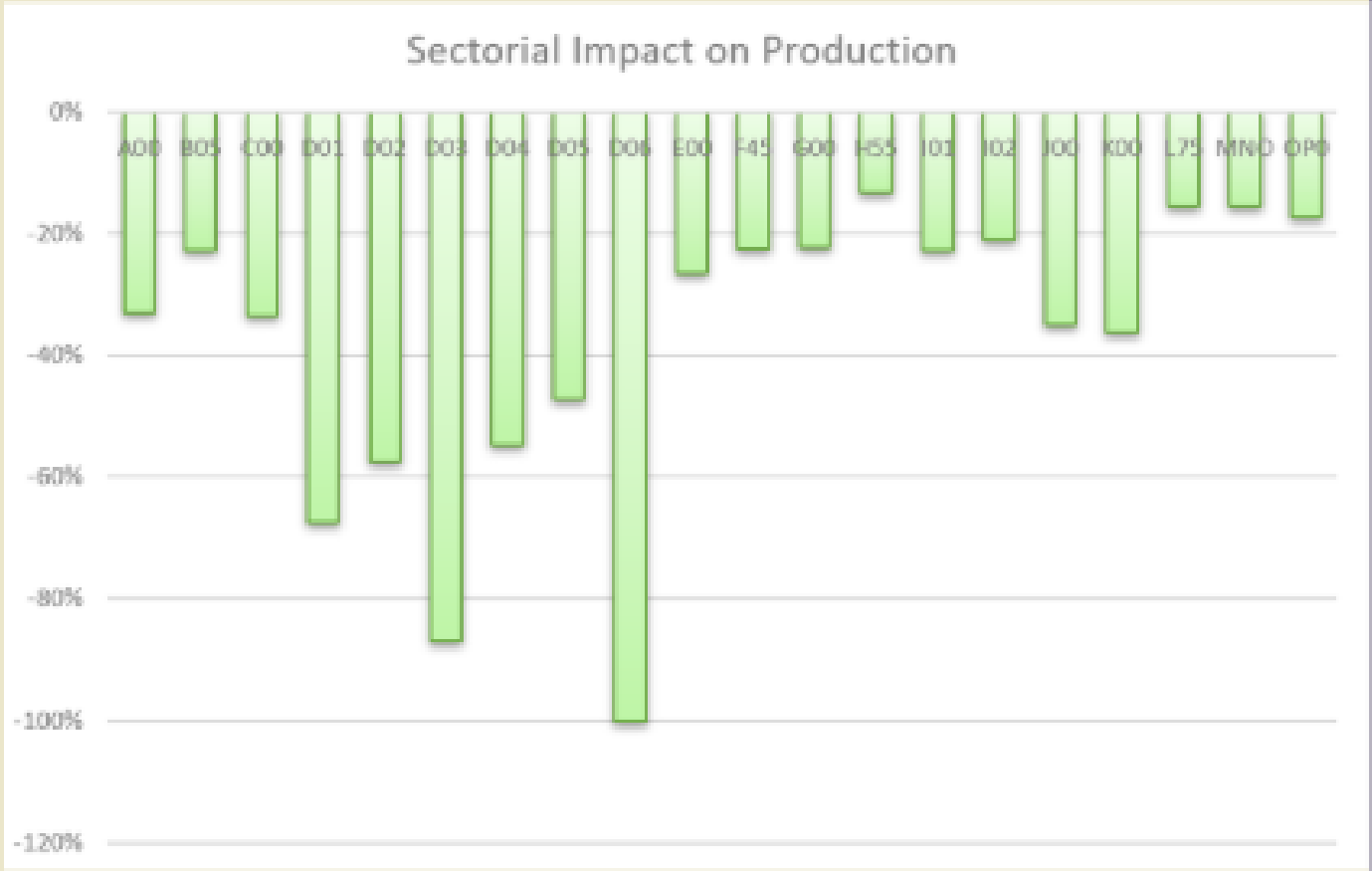






- 01: Tangier-Tétouan-Al Hoceima
- 02: Oriental
- 03: Fez-Meknès
- 04: Rabat-Salé-Kénitra
- 05: Beni Mellal-Khenifra
- 06: Settat-Casablanca
- 07: Marrakesh-Safi
- 08: Drâa-Tafilalet
- 09: Souss-Massa
- 10: Guelmim-Oued Noun
- 11: Laâyoune-Sakia El Hamra
- 12: Dakhla-Oued Eddahab

01: Tangier-Tétouan-Al Hoceima





National Economy:

Casablanca-Settat is vital.
Without it, Morocco suffers.



Regional Impact:

Regions close to
Casablanca lose the most.



Sector Impact:

Agriculture, Fishing, and
Construction are hit hardest.

FINALLY, SOME SOLUTIONS:



Work together:

Regions should cooperate more to depend less on Casablanca



Invest in Education

Improve skills to create jobs outside Casablanca.



Diversify

Encourage new industries in other regions.

Thank you

Problematic

- **What is the economic impact on Morocco if Casablanca-Settat is isolated (in terms of output)?**
- **How would other regions be affected, and which would face the largest losses?**
- **Which sectors would be most vulnerable to the extraction of Casablanca-Settat?**

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OUTLINE



Introduction
Methodology
Results
Interpretation and
Discussion
Conclusion

Problematic

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Objectives

- **Analyze the impact of isolating Casablanca-Settat on Morocco's national output, value added.**
- **Identify which sectors in the Moroccan economy are most vulnerable to the extraction of Casablanca-Settat.**
- **Evaluate the effects on other regions, identifying which would face the largest economic losses.**

Methodology



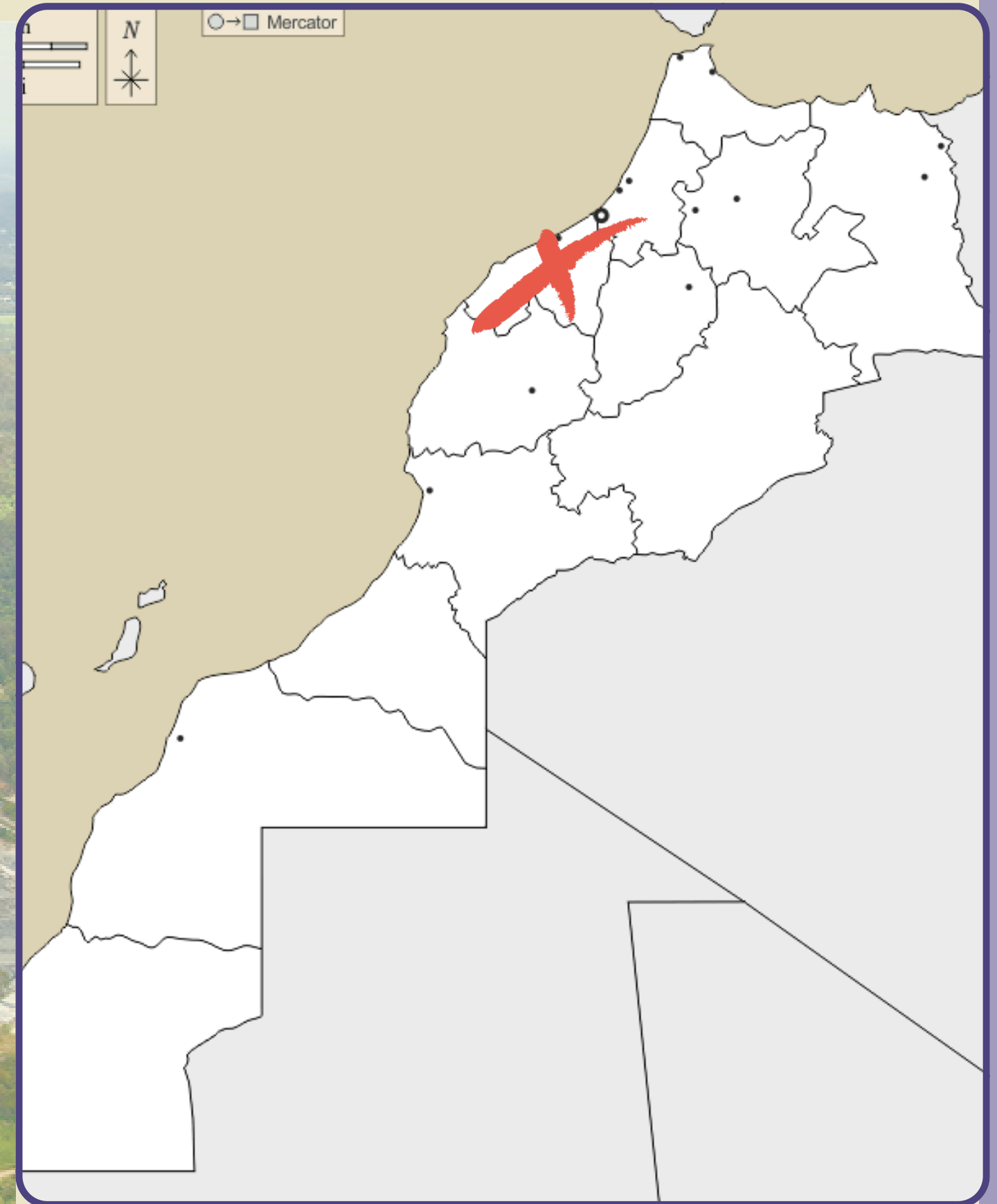
Simulating the economic impact of removing Casablanca-Settat



Methodology

What is the “Regional Extraction” method?

- We simulate a scenario where Casablanca-Settat is completely shut down.
- No production, no trade, no interaction with other regions.



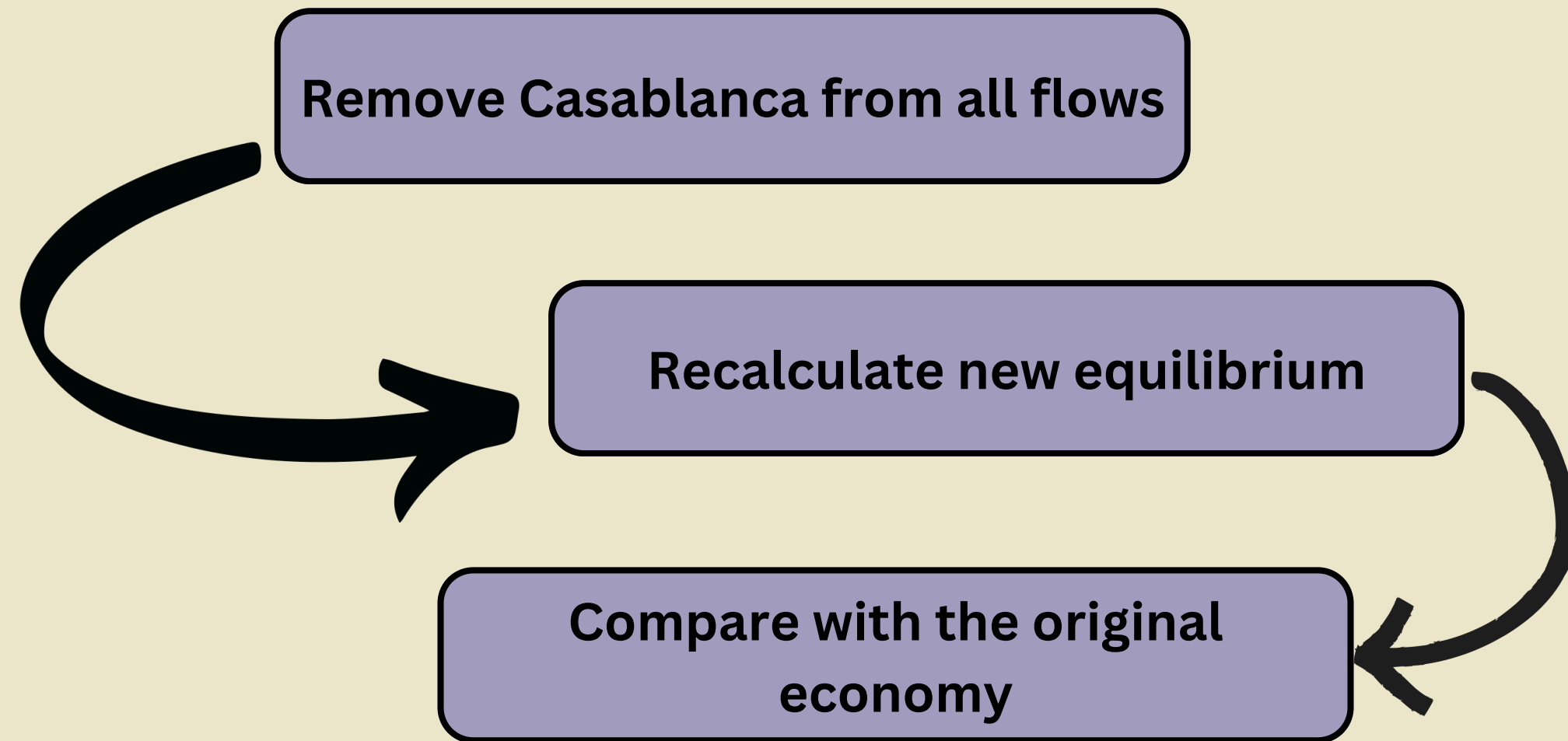
Methodology

Data Used

- **2019** Moroccan interregional input-output table
- Interregional trade flows among **12 Moroccan regions**
- **20 economic sectors**
- **Gross output** by region and sector,
- **Value added (VA)**, representing generated economic wealth,
- Employment

Methodology

Steps of the Analysis



Methodology

What Did We Measure?

Loss of Gross Output

Loss of Value Added

Regional impact on
Employment, sectors...

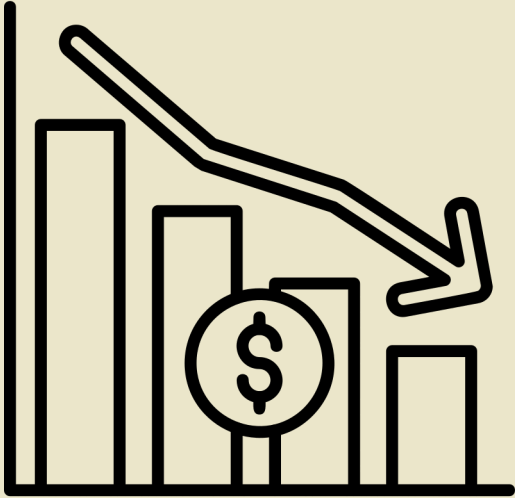


Results and Interpretations



I. Impact of Casablanca-Settat’s Extraction on National Output

Casablanca’s extraction would reduce Morocco’s production by **36%**, value added by **35%**, and employment by **31%**, highlighting **its crucial role as the economic capital**.

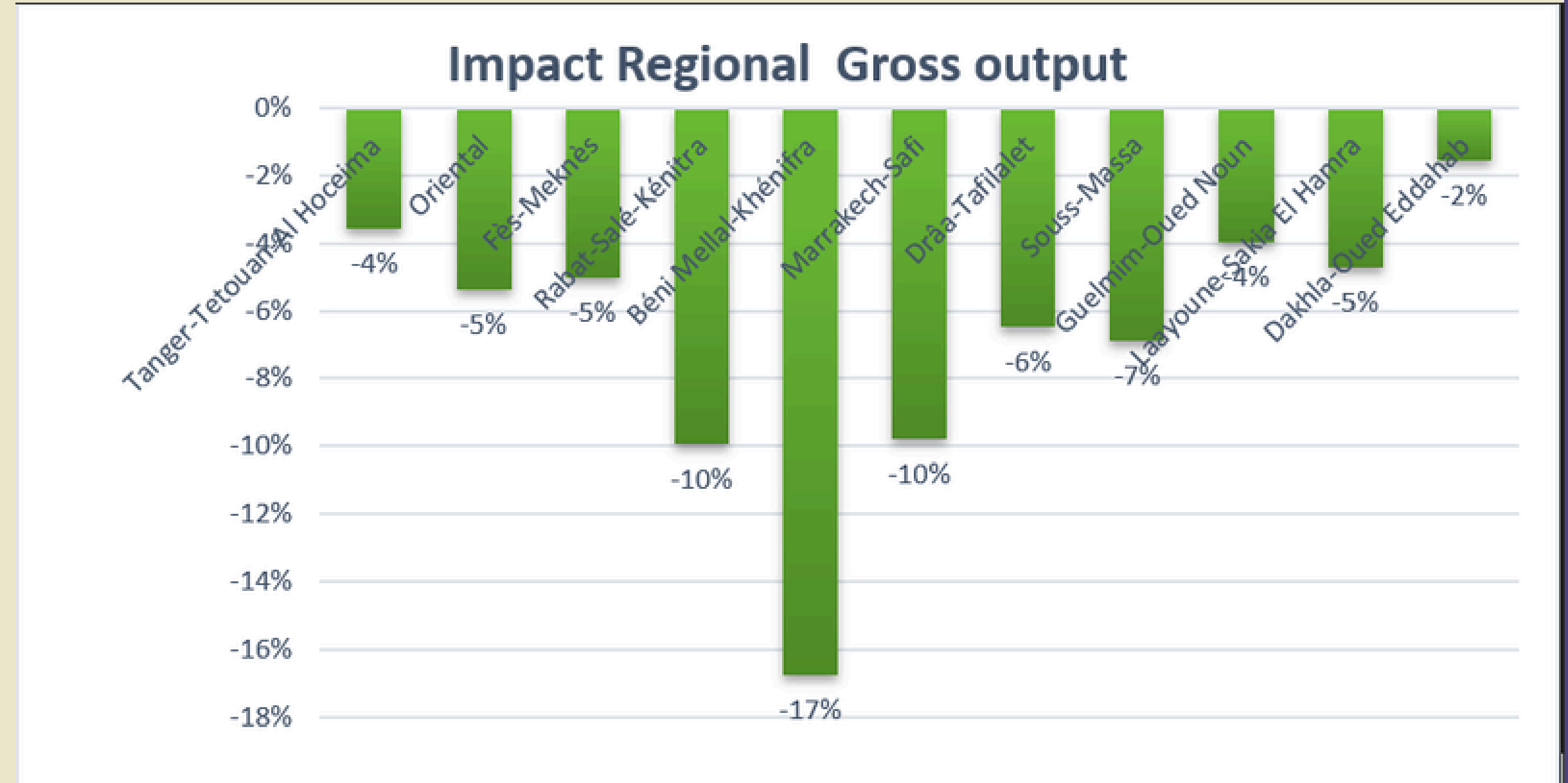


	With Casablanca-Settat	Without Casablanca-Settat	Difference	%
Gross Ouput	1 788 947	1 140 367	- 648 580	-36%
Added value	1 018 022	666 385	- 351 637	-35%
Employment	10 688 690	7 326 926	- 3 361 764	-31%

II. Impact of Casablanca-Settat Region Extraction on Other Regions

Gross Output

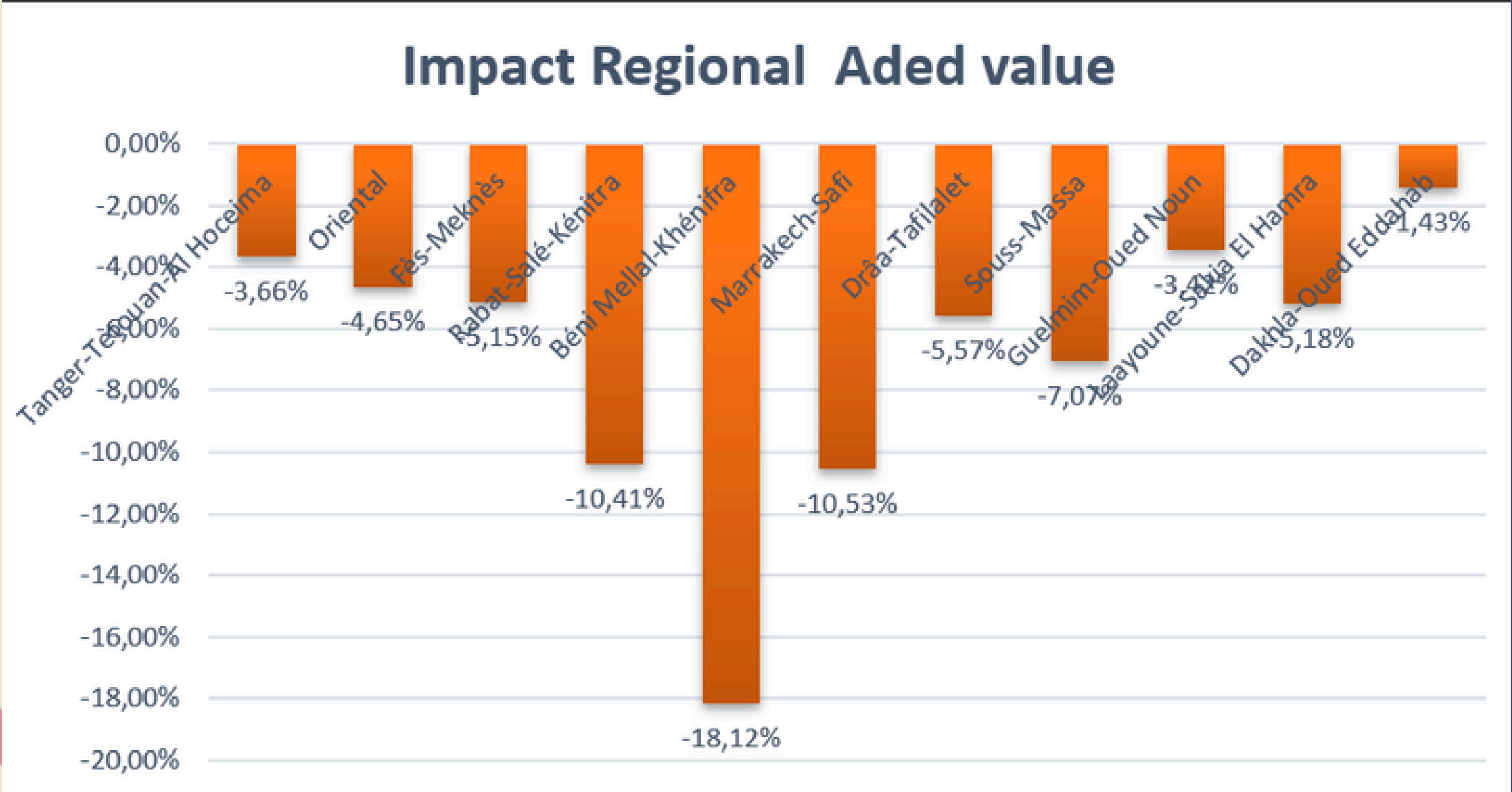
- Most impacted regions: **Marrakech-Safi**, **Béni Mellal**, and **Drâa**, with the first two affected **due to proximity to Casablanca**, while Drâa is impacted by **the combined effects of the other two**.
- Less impacted regions: **Dakhla(-2%)**, **Tanger-Tétouan-Al Hoceima** and **Guelmim-Oued Noun (-4%)**



II. Impact of Casablanca-Settat Region Extraction on Other Regions

Added Value

- Strong positive relationship between production and value added means regions most negatively impacted in production, like Marrakech, Béni Mellal, and Drâa-Tafilalet, also experience negative impacts in value added.

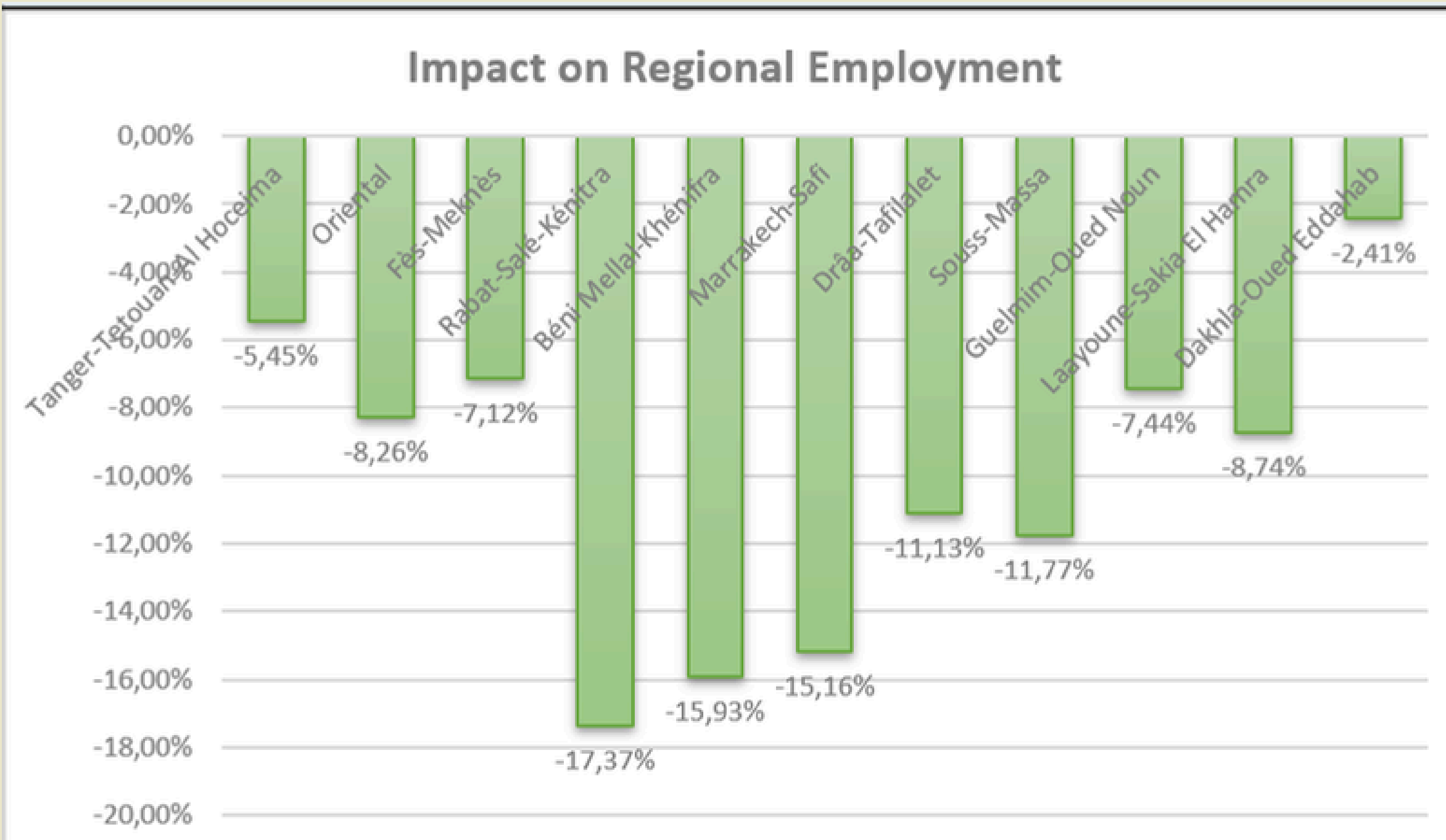


II. Impact of Casablanca-Settat Region Extraction on Other Regions



Employment

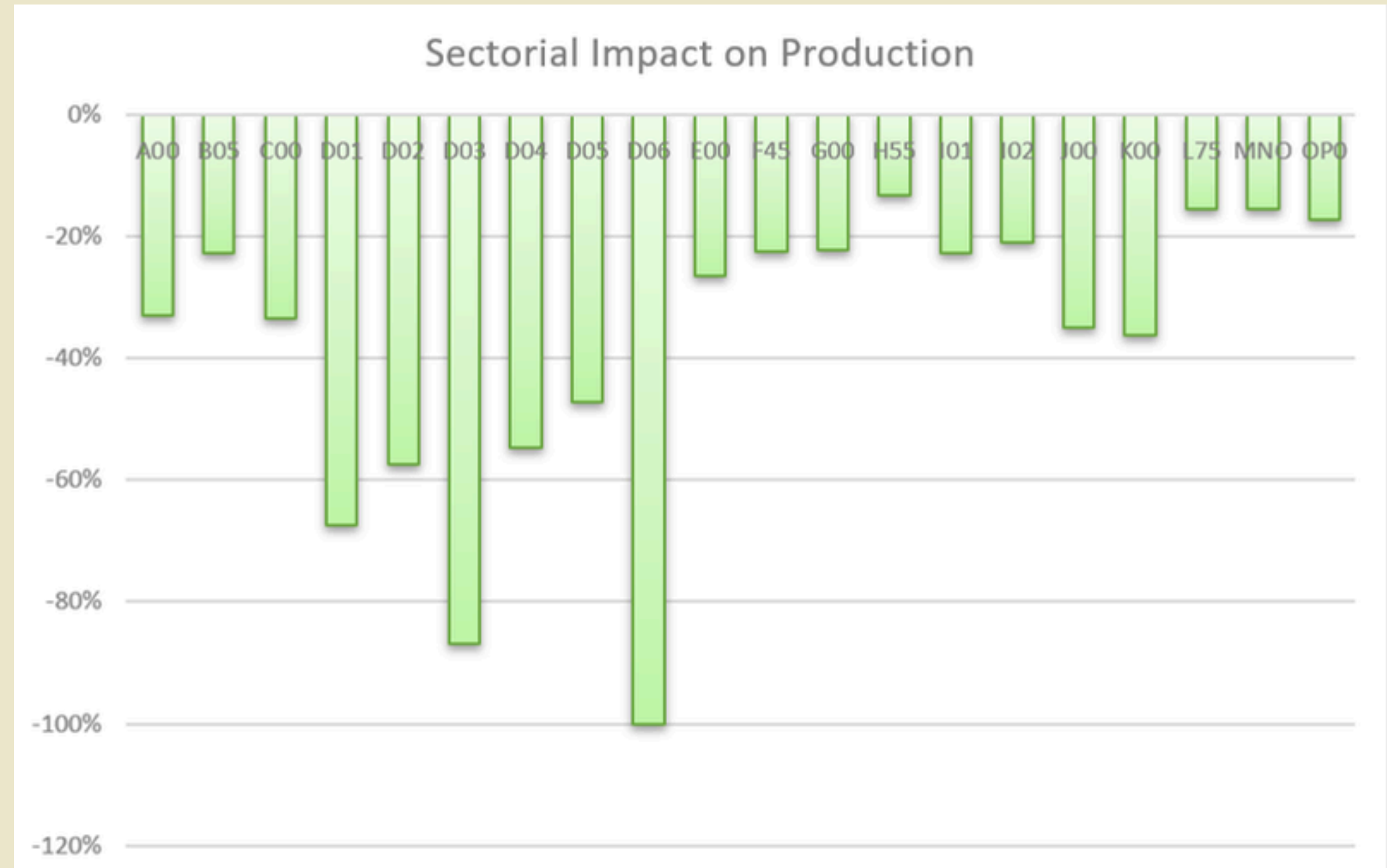
- Béni Mellal is the **most impacted region** in terms of employment, followed by Marrakech and Drâa-Tafilalet, likely due to **high migration** to Casablanca and low employment rates in the region.



III. Sectorial Impact of Casablanca Extraction on the Moroccan Economy

Production

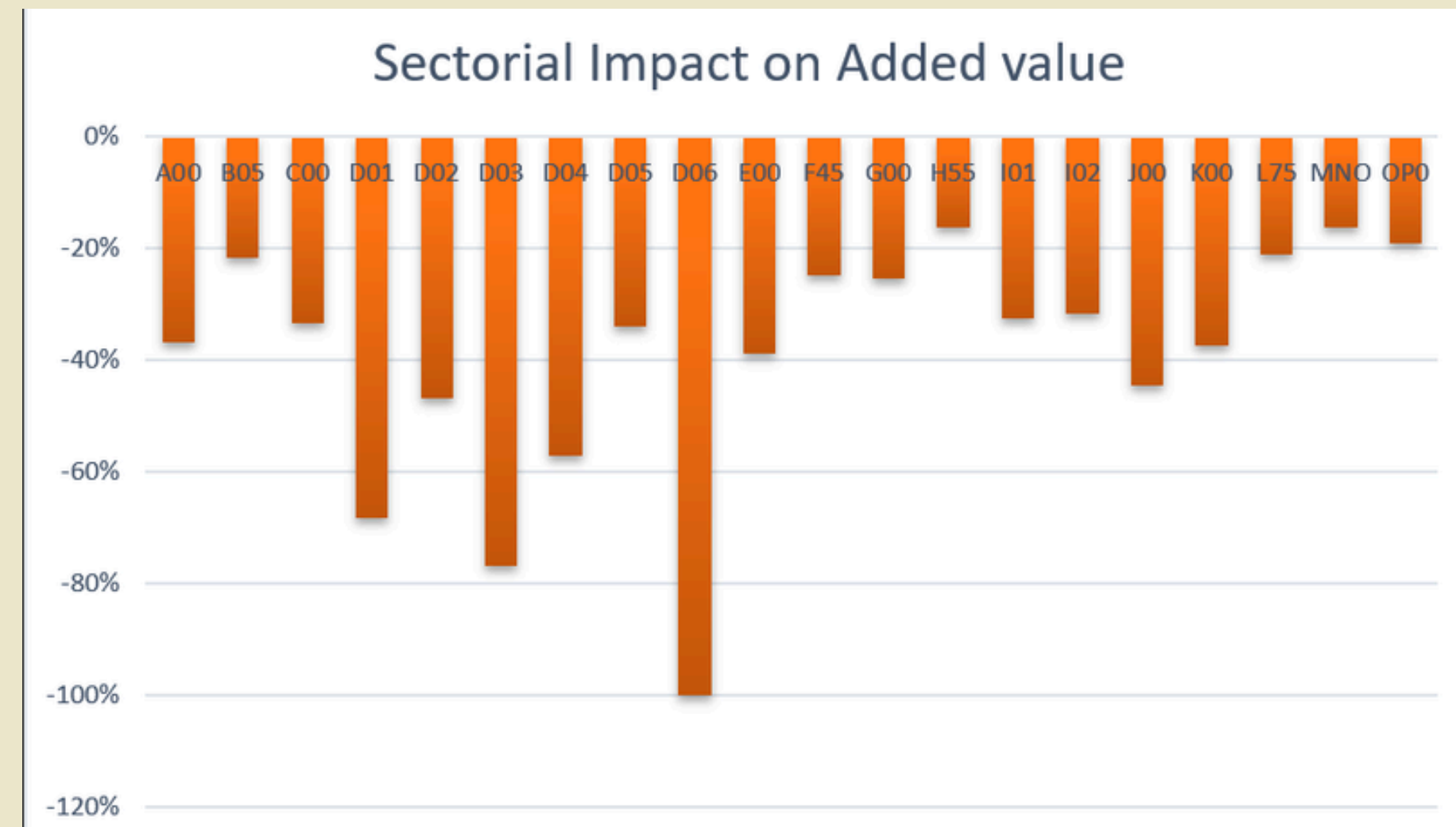
- The most impacted sectors are **D06** (Chemical), **D03** (Oil Refining), and **D01** (Food and Tobacco), with Casablanca accounting for **39%** of national industries **due to its economic significance**.



III. Sectorial Impact of Casablanca Extraction on the Moroccan Economy

Added Value

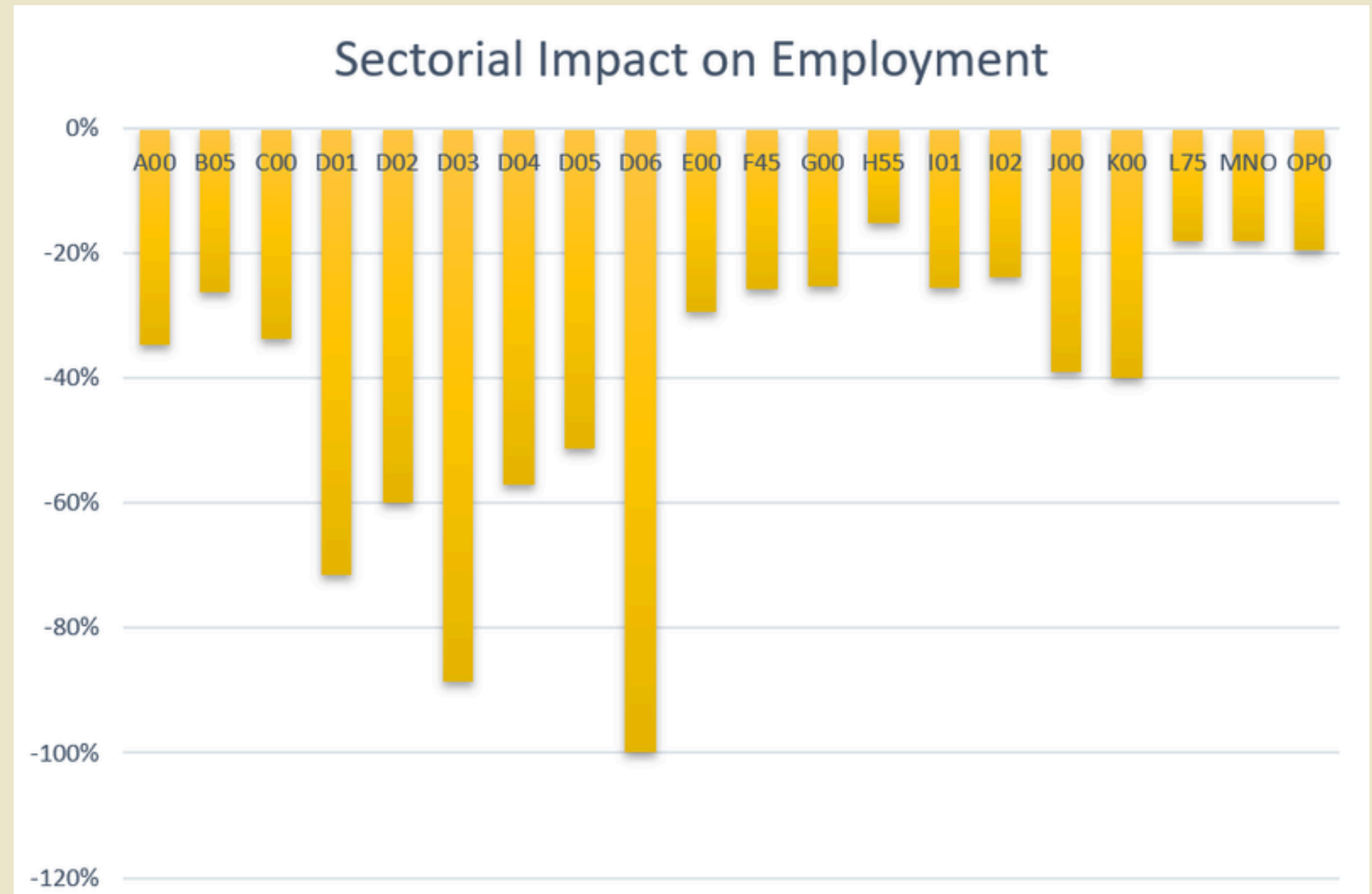
- The most impacted sectors, including D06 (Chemical), D03 (Oil Refining), and D01 (Food and Tobacco), show **large declines in added value due to the strong link between added value and total output.**



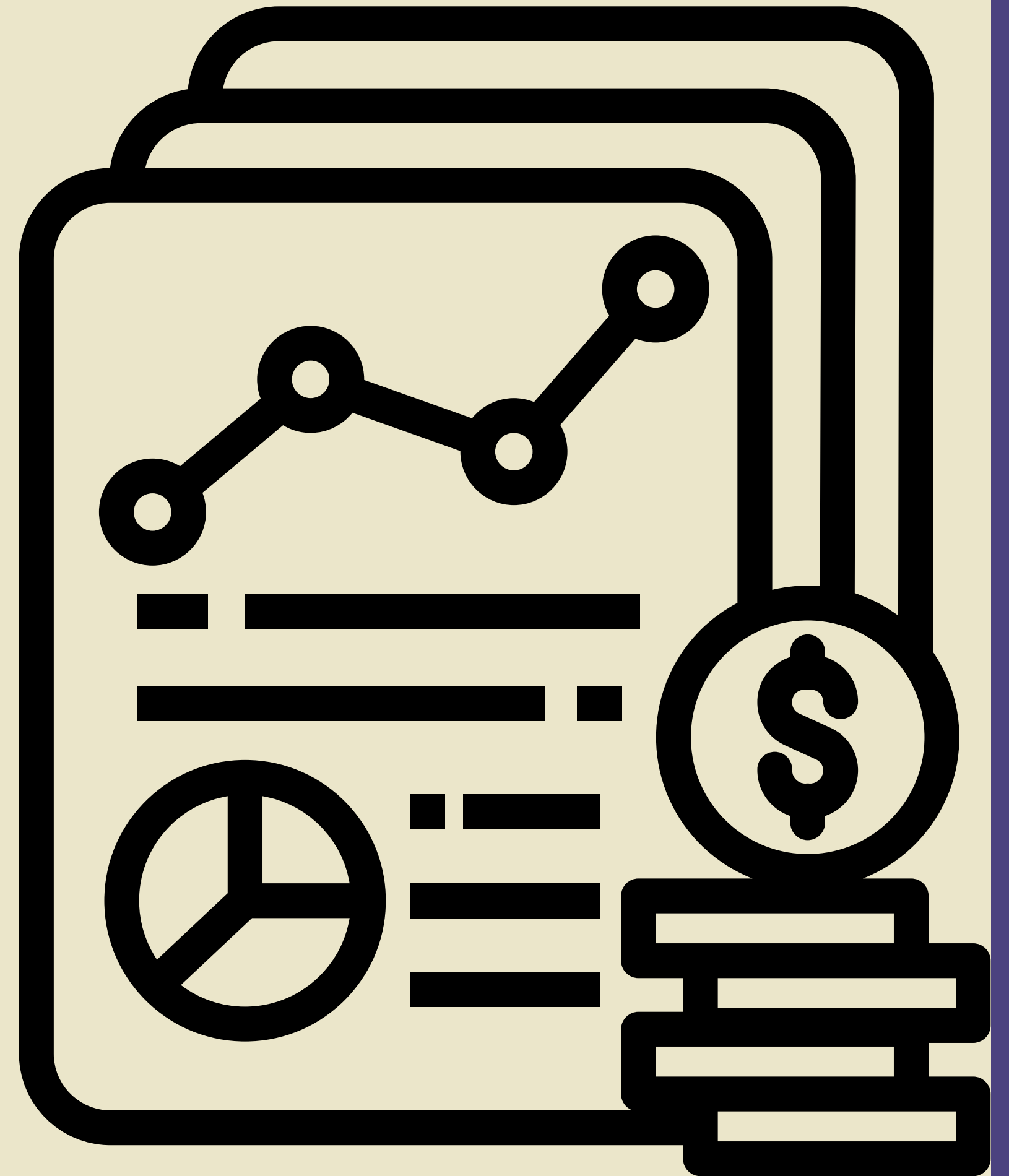
III. Sectorial Impact of Casablanca Extraction on the Moroccan Economy

Employment

- The most impacted sectors in employment are D06 (Chemical), D03 (Oil Refining), and D01 (Food and Tobacco), due **to Casablanca's central role in these industries**, where its extraction leads to **significant job losses** in these sectors.



Conclusion and recommendations



Main Conclusions

- **Impact on National Economy:** The extraction of Casablanca-Settat would reduce Morocco's production, value added, and employment, underscoring its crucial role in the national economy.
- **Regional Consequences:** Regions closely tied to Casablanca, especially those nearby, would experience significant losses in output and employment.
- **Sectorial Effects:** Sectors reliant on Casablanca, such as **Agriculture, Fishing, D06 Energy, and Construction**, would face major declines in both **value added** and **employment**.

Recommendations

- **Strengthen Regional Cooperation:** Enhance economic ties between regions to create interdependent economies, reducing the risk of isolation.
- **Invest in Education and Skills Development:** Improve workforce skills in sectors like **Agriculture, Fishing, Energy, and Construction** outside Casablanca to attract investment and diversify industries.
- **Diversify Economic Activities:** Promote new industries particularly Oil refining, food industries such as to reduce reliance on Casablanca.

Recommendations

- **Enhance Regional Export Strategies:** Develop export strategies for each region to reduce dependence on Casablanca's trade role.
- **Strengthen Regional Cooperation:** Enhance economic ties between regions to create interdependent economies, reducing the risk of isolation.
- **Invest in Education and Skills Development:** Improve workforce skills in sectors like Technology and Manufacturing outside Casablanca to attract investment and diversify industries.